

Rigetti Computing, Inc.

RGTI NASDAQ

Hold

\$24.45 ▲ 1.45%

12M Price Target
\$26.00

52-Week Range
\$10.30 – \$58.15

Market Cap
\$8.13B

RGTI: Quantinuum IPO Pressures Pure-Plays; Reiterate Hold

WHAT'S CHANGED

- Quantinuum's \$1.5B IPO (QNT) debuted today after 20x oversubscription, triggering a -10.4% reversal in RGTI from \$26.88 (6/2) to \$24.09 (6/3) as capital rotates to the newest, best-capitalized pure-play quantum name.
- CEO Subodh Kulkarni sold 61,000 shares at \$24.38 (\$1.49M) on 6/1 alongside CTO David Rivas's 111,725-share option exercise on 5/29 — cluster insider selling into strength flagged as bearish signal.

IMPLICATIONS

The Quantinuum debut materially reshapes the quantum competitive narrative: investors now have access to a trapped-ion incumbent with Honeywell pedigree and ~\$1.5B in fresh capital, compressing the scarcity premium that has supported RGTI, IONQ, and QBTS multiples. RGTI trades at ~450x FY26E revenue (~\$18M), a multiple that requires flawless execution on the 100+ qubit Ankaa-3 roadmap and continued DARPA QBI Stage B momentum — neither of which is imminent. Bullish options flow (P/C 0.22, 14.6K June \$25 calls at 3.4x OI) suggests retail is fading the dip, but insider selling at these levels argues management views current pricing as rich.

VALUATION

At \$8.13B market cap on ~\$18M FY26E revenue, RGTI trades at ~450x EV/Revenue — a multiple sustainable only under a winner-take-most quantum thesis that Quantinuum's IPO directly challenges. Our \$26 PT applies a ~250x FY27E EV/Sales multiple, in line with the post-QNT pure-play comp set, implying ~6% upside. Multiple contraction is the dominant near-term risk; expansion requires a fault-tolerant milestone or hyperscaler partnership announcement.

KEY RISKS

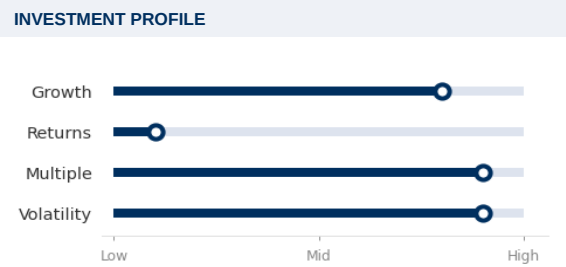
- Quantinuum (QNT) and IonQ (IONQ) capture enterprise pilots given trapped-ion fidelity advantages, marginalizing superconducting roadmap.
- Cash burn (~\$80M/yr) forces dilutive equity raise at depressed prices following insider selling signal.
- DARPA QBI program de-selection or delayed Ankaa-3 qubit count/fidelity milestones triggers multiple reset toward \$12-15.

RECENT NEWS

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Rigetti, D-Wave, IonQ Stocks Sink as Quantinuum's \$1.5 Billion IPO Nears Nasdaq Debut GuruFocus.com · 2026-06-04 12:39

Key Data	
Price (USD)	\$24.45
12M Price Target	\$26.00
Upside / (Downside)	+6.3%
Market Cap	\$8.13B
FY2026E Revenue	\$18M
FY2027E Revenue	\$32M
FY2026E EPS	(\$0.35)
FY2027E EPS	(\$0.28)
Fwd P/E	N/M



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$30.00	\$25.00	\$19.00
6 Months	\$38.00	\$26.00	\$15.00
1 Year	\$45.00	\$28.00	\$12.00
2 Years	\$60.00	\$32.00	\$9.00
5 Years	\$110.00	\$45.00	\$5.00
10 Years	\$250.00	\$70.00	\$2.00

SECTOR INTELLIGENCE

HOT SECTORS: Healthcare (+3.00%), Financials (+2.63%)

COLD SECTORS: Comm. Svcs (-3.21% 5D), Utilities (-1.51% 5D)

ROTATION WATCH: Risk-on rotation into Healthcare and Financials suggests broad market constructive, but speculative tech/quantum is seeing intra-group rotation rather than fresh capital — RGTI specifically bleeding share to QNT.

BYPRODUCT PLAY: Quantum IPO enthusiasm benefits cryogenic infrastructure (FORM, MKSI), specialty cooling, and superconducting materials suppliers — picks-and-shovels exposure with lower binary risk than pure-play QPU developers.

OUTPERFORMERS & PEER CONTEXT

- QNT (Quantinuum): 20x oversubscribed IPO debuting today; ion-trap leader with Honeywell parentage and ~\$1.5B in fresh capital — instantly the best-capitalized pure-play.
- IONQ (IonQ): Trapped-ion architecture commands premium fidelity narrative; benefits from QNT validation of the modality.

RGTI CONTEXT: RGTI is lagging the quantum cohort today — superconducting architecture faces a credibility test as two of the three highest-profile pure-plays (QNT, IONQ) validate trapped-ion. The 30% position in 52-week range vs. recent \$58 high reflects multiple compression already underway.

INVESTMENT STRATEGY

4/10 Conviction Score

Position Size: 0.5-1.5% of portfolio (speculative bucket)

Entry Points: \$17-20 on capitulation flush

Time Horizon: 12-24 months

Thesis Invalidation: Failure to hit 100+ qubit Ankaa milestone or DARPA QBI program exit

Hedging: Long IONQ or QBTS as paired quantum exposure; covered calls at \$30 strike